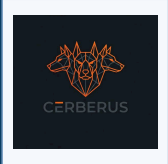


Inflation Cycle & Components



INTERNAL

Decompose inflation into sticky and flexible components using BLS CPI and PPI series and test SPY/TLT forward returns.

Author: Cerberus Research

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N 24	EDGE +1.65%	HIT-RATE 70.8%
CLASSIFICATION internal	AUTHOR Cerberus Research	
RUN ID 20260807_094823	GIT COMMIT 978cf61e	
DURATION 0.4s	DATASETS bls/bls_curated	
PARAMETER · LOOKBACK_YEARS 15	PARAMETER · HORIZON 21	
KPI Value	N 24	
EDGE +1.65%	HIT-RATE 70.8%	

KEY FINDINGS · Latest sticky YoY: 3.07%, flexible YoY: 5.56%
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Data Sources

- **bls/bls_curated**: BLS CPI and PPI series

Key Findings

- Latest sticky YoY: 3.07%, flexible YoY: 5.56%

Executive Summary

NOTE

Decomposes inflation into sticky and flexible components using BLS CPI and PPI series. Tests whether high vs low sticky inflation regimes predict SPY and TLT forward returns.

Results & Interpretation

- Across 24 events, the forward return averaged +1.65%. Returns were positive 70.8% of the time.
- Across 59 events, the forward return averaged +1.26%. Returns were positive 64.4% of the time.
- Across 26 events, the forward return averaged -0.34%. Returns were positive 46.2% of the time.
- Across 59 events, the forward return averaged -0.33%. Returns were positive 44.1% of the time.

Objectives

NOTE

Evaluate whether the studied signal produces a measurable, repeatable edge.

Quantify the reliability of the observed patterns across the sample.

Methodology

NOTE

Each price series is converted to year-over-year percent change. Sticky and flexible baskets are averaged separately; the gap signals transitory vs persistent inflation pressure. Regimes are split at the median sticky inflation level.

Charts



Figure 1. Inflation components dashboard
Inflation components dashboard

Statistical Results

component	latest_yoy	max_yoy	min_yoy
ppi_final_demand	5.99	12.71	-1
core_cpi	3.07	8.10	1

Table 1. Latest component YoY changes

timestamp	sticky_yoy	flexible_y...	gap	high_inflati...	disinflation
2024-06-01	3.61	2.55	-1.06	True	False
2024-07-01	3.61	2.55	-1.06	True	False
2024-08-01	3.20	2.55	-0.65	True	False
2024-09-01	3.20	2.55	-0.65	True	False
2024-10-01	3.76	1.58	-2.18	True	False
2024-11-01	3.26	1.58	-1.68	True	False
2024-12-01	3.26	1.58	-1.68	True	False
2025-01-01	3.93	1.63	-2.30	True	False
2025-02-01	3.93	4.21	0.28	True	False
2025-03-01	4.60	4.21	-0.39	True	False
2025-04-01	2.78	4.21	1.43	False	False

timestamp	sticky_yoy	flexible_y...	gap	high_inflati...	disinflation
2025-05-01	2.78	2.54	-0.24	False	False
2025-06-01	2.78	2.54	-0.24	False	False
2025-07-01	2.78	3.73	0.95	False	False
2025-08-01	3.11	3.73	0.62	True	False
2025-09-01	3.37	3.73	0.36	True	False
2025-10-01	2.81	4.11	1.30	False	False
2025-11-01	2.81	4.20	1.39	False	False
2025-12-01	2.81	4.20	1.39	False	False
2026-01-01	2.15	4.20	2.05	False	False
2026-02-01	2.90	1.63	-1.28	True	False
2026-03-01	2.60	1.63	-0.97	False	False
2026-04-01	2.32	5.56	3.25	False	False
2026-05-01	3.07	5.56	2.49	True	False

Table 2. Inflation summary (last 24 months)

regime	count	avg_fwd_ret_...	median_fwd_ret_...	hit_rate_pct
low_inflation	24	+ 1.65%	+ 1.69%	+ 70.83%
high_inflation	59	+ 1.26%	+ 1.99%	+ 64.41%

Table 3. SPY forward returns by inflation regime

regime	count	avg_fwd_ret_...	median_fwd_ret_...	hit_rate_pct
low_inflation	26	-0.34%	-0.62%	+ 46.15%
high_inflation	59	-0.33%	-0.37%	+ 44.07%

Table 4. TLT forward returns by inflation regime

Limitations

NOTE

Results are research-grade, not investment advice. The sample is limited to available data, and measured edges may not persist out-of-sample.

Appendix Tables

components

timestamp	ppi_final_dem...	core_cpi
2016-07-31	0.91	2.19
2016-08-31	0.91	2.19

timestamp	ppi_final_dem...	core_cpi
2016-09-30	0.64	2.19
2016-10-31	0.64	1.54
2016-11-30	0.82	1.54
2016-12-31	1.56	2.11
2017-01-31	1.56	2.27
2017-02-28	2.47	2.27
2017-03-31	2.47	1.51
2017-04-30	1.64	1.51
2017-05-31	1.64	2.22
2017-06-30	0.90	2.22
2017-07-31	0.90	1.69
2017-08-31	2.17	1.69
2017-09-30	2.35	1.69

spy_fwd_returns

regime	count	avg_fwd_ret_...	median_fwd_ret_...	hit_rate_pct
low_inflation	24	+ 1.65%	+ 1.69%	+ 70.83%
high_inflation	59	+ 1.26%	+ 1.99%	+ 64.41%

summary

timestamp	sticky_yoy	flexible_y...	gap	high_inflati...	disinflation
2012-02-29	2.18	2.90	0.72	False	False
2012-03-31	2.18	2.90	0.72	False	False
2012-04-30	1.67	4.45	2.78	False	True
2012-05-31	2.45	1.79	-0.66	False	False
2012-06-30	2.45	1.79	-0.66	False	False
2012-07-31	2.45	1.79	-0.66	False	False
2012-08-31	1.91	1.79	-0.12	False	True
2012-09-30	2.17	1.79	-0.38	False	False
2012-10-31	2.00	1.79	-0.21	False	False
2012-11-30	2.00	1.69	-0.31	False	False
2012-12-31	2.00	1.69	-0.31	False	False
2013-01-31	2.00	1.79	-0.21	False	False

Research only. Not investment advice. Past performance is not indicative of future results.

timestamp	sticky_yoy	flexible_y...	gap	high_inflati...	disinflation
2013-02-28	2.00	1.79	-0.22	False	False
2013-03-31	2.00	1.79	-0.22	False	False
2013-04-30	2.36	0.28	-2.08	False	False

tlt_fwd_returns

regime	count	avg_fwd_ret_...	median_fwd_ret_...	hit_rate_pct
low_inflation	26	-0.34%	-0.62%	+ 46.15%
high_inflation	59	-0.33%	-0.37%	+ 44.07%

Statistics Summary

Key	Value
study	inflation_cycle_components
category	macro
status	success
parameters	{'lookback_years': 15, 'horizon': 21}
datasets	['bls/bls_curated']
rows	186
git_commit	978cf61eefd9b125a5087073e70ef1c9d91f687b
executed_at	2026-08-07T08:48:23.898743+00:00

Glossary

Term	Definition
n / count	Number of observations or events in the sample.
edge	Average excess return versus the unconditional baseline.
hit-rate	Share of events with a positive forward return.
p-value	Probability of observing the result under the null of no edge.
*** / ** / *	Significance at 99.9% / 99% / 95% confidence.
α (alpha)	Intercept or active return versus benchmark.
β (beta)	Sensitivity to a reference factor or market.
σ (sigma)	Volatility / standard deviation of returns.

Document Control

Field	Value
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Field	Value
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Study slug	inflation_cycle_components
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Parameter · lookback_years	15
Parameter · horizon	21
Data fingerprint	6d89a7ccb2c6
Duration	0.4s

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